

Li Ning (2331)

Retail headwinds in 2Q, in-line; sustained investments for long-term growth; maintain OW

Li Ning reported 2Q operational updates with retail sell-through facing headwinds (down LSD if excl. kids and flat incl. kids), in-line with our expectations (see [report](#)). This was mainly due to weaker-than-expected traffic amid a lukewarm retail environment and unfavorable weather. Inventory level remained robust at c.4 months (vs. c.5 months as of 1Q) with a healthy inventory age profile, despite deepened discounts (offline/online by MSD/LSD; overall at mid-30s off). Despite headwinds lingering in early July, management **maintained its full year guidance** (sales +HSD, HSD NPM), given multiple catalysts to boost the retail trend in 2H (such as the launch of the new cushioned running shoe collection, the debut of the Loong store and the Asian Games-related campaigns) and initiatives to uphold margins (such as supply-chain optimization, closing underperforming stores, efficiency enhancement, etc.). Meanwhile, management reaffirmed its commitment to long-term strategic investments, including R&D (such as the newly launched BOOM Arc technology) and brand equity (such as the [partnership with Curry](#) and sponsorship of elite athletes and top-tier sports events). This strengthened our confidence in Li Ning's long-term recovery. We maintain our 2026-28 earnings estimates. Our DCF-based Dec-26 PT of HK\$23 implies a 12-month forward P/E of 17x. Maintain OW.

- **Progress of the Curry partnership.** Regarding products, a dedicated team has been set up for the Curry brand and it has kicked off product planning. The products will focus on basketball in 2H and a broader range of products (such as lifestyle and golf) will be rolled-out in 2027. The commemorative T-shirt launched in July was welcomed by consumers. Regarding expenses, related expenses include signing fees, co-branding fees and operational and marketing expenses. As a long term partnership, the related expenses will be amortized during the partnership. The financial impact on 2026 shall be limited, per management.
- **Swing factors on margin in 2H.** Despite challenges on margin, management has rolled out multiple initiatives to maintain a solid margin profile. The challenges include: 1) pressures on discount levels amid the lukewarm retail environment which would weigh on GPM; and 2) increase in A&P expenses, given the Curry partnership, Asian Games-related campaigns, and sponsorship of sports events (such as the Chengdu Marathon). The initiatives include: 1) supply chain optimization, such as pre-locked raw material prices and product design optimization to offset deeper discounts; 2) strict control on non-essential expenses, such as closure of

Overweight

2331.HK, 2331 HK

Price (15 Jul 26): HK\$15.12

Price Target (Dec-26): HK\$23.00

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J.P. Morgan Securities (China) Company Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	55	47	45	74	86
Growth	78	87	75	32	26
Momentum	19	56	67	71	13
Quality	43	46	35	22	16
Low Vol	48	63	81	85	78
ESGQ	95	27	13	9	3

10 Jul 2026 Li Ning: [Industry softness weighed pressures in 2Q; long-term recovery trend intact; maintain OW](#)

10 Jul 2026 China Sportswear: [Takeaways from expert call](#)

22 Jun 2026 China Sportswear: [How can brands be successful in China – lessons from Adidas "Urban Errand" viral marketing campaign](#)

2 Jun 2026 Li Ning: [Landmark partnership with Curry](#)

27 Apr 2026 China Sportswear: [What's moving in the landscape](#)

22 Apr 2026 Li Ning: [1Q26 in line; validated recovery signals; maintain OW](#)

23 Mar 2026 Li Ning: [Earlier than expected recovery; upgrade to OW](#)

28 Feb 2026 China Sportswear: [Takeaways from expert call](#)

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

underperforming stores; and 3) efficiency enhancement.

- **2Q26 in-line.** Li Ning's (excl. kids) 2Q26 retail sell-through declined by LSD yoy, while it was flat if incl. kids (kids +low-teens). By channel, e-commerce grew by MSD, and offline declined by LSD (retail down LSD despite outlets delivering positive growth; wholesale down MSD). By category, core categories all faced headwinds (running and lifestyle turned negative; basketball saw widening declines), despite fitness remaining resilient (driven by functional apparels) and outdoor and Glory collections maintaining momentum (representing MSD and LSD of overall retail sell-through, respectively; in-line with the management's expectations). As of 2Q26, Li Ning Adults POS in China amounted to 6,063, net -28 vs. 2025, with retail/wholesale -66/+38. Li Ning Young POS totaled 1,516, net +2 vs. 2025.

Price Performance



	YTD	1m	3m	12m
Abs	-19.0%	-12.4%	-28.1%	-4.8%
Rel	-10.8%	-10.1%	-21.9%	3.0%

Company Data

Shares O/S (mn)	2,585
52-week range (HK\$)	23.42-14.21
Market cap (\$ mn)	4,986
Exchange rate	7.84
Free float (%)	85.3%
3M ADV (mn)	20.65
3M ADV (\$ mn)	46.9
Volatility (90 Day)	36
Index	HSCEI
BBG ANR (Buy Hold Sell)	42 6 1

Key Metrics (FYE Dec)

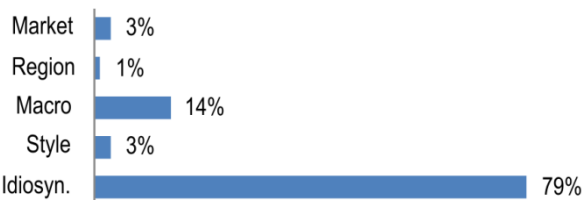
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	29,598	31,351	32,617	33,933
Adj. EBITDA	4,444	4,310	4,944	5,461
Adj. EBIT	3,669	3,537	3,990	4,384
Adj. net income	2,936	2,820	3,129	3,384
Adj. EPS	1.14	1.09	1.21	1.31
BBG EPS	1.03	1.18	1.32	1.48
Cashflow from operations	4,852	3,000	4,130	4,555
FCFF	4,794	979	2,049	2,426
Margins and Growth				
Revenue Growth Y/Y (%)	3.2%	5.9%	4.0%	4.0%
Gross margin	49.0%	49.1%	49.3%	49.6%
EBITDA margin	15.0%	13.7%	15.2%	16.1%
EBIT margin	12.4%	11.3%	12.2%	12.9%
Adj. EPS growth	(2.1%)	(3.9%)	11.0%	8.1%
Ratios				
Adj. tax rate	29.9%	29.9%	29.9%	29.9%
Interest cover	NM	NM	NM	261.1
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	9.6%	8.7%	9.4%	9.8%
ROE	10.9%	10.0%	10.5%	10.8%
Valuation				
FCFF yield	14.2%	2.9%	6.1%	7.2%
Dividend yield	4.3%	4.2%	4.6%	5.0%
EV/Revenue	0.4	0.4	0.4	0.4
EV/EBITDA	2.9	3.1	2.6	2.2
Adj. P/E	11.5	12.0	10.8	10.0

Summary Investment Thesis and Valuation

Li Ning is the second-largest domestic sportswear player in China, with a 9.4% market share in 2025 (source: Euromonitor). We have been looking for two signs of a recovery at Li Ning: 1) a regaining of market share after a loss since 2022 (a 1.3ppt loss, per Euromonitor); and 2) relatively effective cost control. Li Ning has now shown us both signs, and its 1Q results validate our confidence in its recovery. Maintain OW.

Our DCF-based Dec-26 PT of HK\$23 implies a 17x 2027E P/E. We derive our 10.1% WACC by assuming a 4.5% risk-free rate, a 7.0% risk premium, a 12.2% cost of equity and a terminal growth rate of 2.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.11	0.16
Region: China	-0.31	0.11
Macro:		
JP Morgan GBI-EM Global Div	0.22	0.25
JPM EM Currency(EMCI) Fixing	0.10	0.18
JPM China A-shares Sentiment	0.08	0.17
Quant Styles:		
Quality	-0.23	-0.16
Size	-0.45	-0.16
Growth	-0.25	-0.12

Investment Thesis, Valuation and Risks

Li Ning Co Ltd (Overweight; Price Target: HK\$23.00)

Investment Thesis

Li Ning is the second-largest domestic sportswear player in China, with a 9.4% market share in 2025 (source: Euromonitor). We have been looking for two signs of a recovery at Li Ning: 1) a regaining of market share after a loss since 2022 (a 1.3ppt loss, per Euromonitor); and 2) relatively effective cost control. Li Ning has now shown us both signs, and its 1Q results validate our confidence in its recovery. Maintain OW.

Valuation

Our DCF-based Dec-26 PT of HK\$23 implies a 17x 2027E P/E. We derive our 10.1% WACC by assuming a 4.5% risk-free rate, a 7.0% risk premium, a 12.2% cost of equity and a terminal growth rate of 2.0%.

DCF valuation

Rmb in millions	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Sales	31,351	32,617	33,933	34,961	35,662	36,265	36,874	37,489	38,109
EBIT	3,537	3,990	4,384	4,517	4,608	4,685	4,764	4,844	4,924
Investment income from associate	273	284	296	305	311	316	321	327	332
Tax rate %	30%	30%	30%	30%	30%	30%	30%	30%	30%
NOPAT	2,670	2,995	3,279	3,379	3,447	3,505	3,564	3,623	3,683
D&A	773	954	1,121	1,276	1,417	1,544	1,658	1,761	1,854
W.C. change	-593	46	51	36	24	21	21	224	243
Capex	-1,948	-2,028	-2,112	-2,177	-2,221	-2,260	-2,298	-2,337	-2,376
as % of sales	-6.2%	-6.2%	-6.2%	-6.2%	-6.2%	-6.2%	-6.2%	-6.2%	-6.2%
FCFF	902	1,967	2,339	2,513	2,667	2,811	2,945	3,271	3,404
NPV of FCFF	14,958								
PV of terminal value	19,899								
Net debt	-17,419								
Minority	0								
Equity value	52,275								
# of shares O/S (in millions)	2,586								
Value per share (Rmb)	20.2								
Value per share (HK\$)	23.0								

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) intensified competition from both international brands and domestic peers; 2) failure to execute strategies such as branding initiatives, new store formats, product innovation, etc.; 3) weaker-than-expected consumer sentiment; and 4) slower-than-expected margin expansion.

Upside catalysts include: (1) a greater-than-expected improvement in fundamentals, including enhancement in product offerings, channel optimization, elevation in brand equity, etc.; (2) better-than-expected consumer sentiment; and (3) earlier-than-expected margin expansion.

Li Ning (2331): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	28,676	29,598	31,351	32,617	33,933	Cash flow from operating activities	5,268	4,852	3,000	4,130	4,555
COGS	(14,520)	(15,110)	(15,948)	(16,544)	(17,113)	o/w Depreciation & amortization	1,158	775	773	954	1,077
Gross profit	14,156	14,489	15,402	16,074	16,820	o/w Changes in working capital	444	(27)	(593)	46	51
SG&A	(10,627)	(10,820)	(11,866)	(12,084)	(12,436)	Cash flow from investing activities	(840)	6,634	(1,980)	(2,061)	(2,144)
Adj. EBITDA	4,687	4,444	4,310	4,944	5,461	o/w Capital expenditure	(3,316)	(34)	(1,980)	(2,061)	(2,144)
D&A	(1,158)	(775)	(773)	(954)	(1,077)	as % of sales	11.6%	0.1%	6.3%	6.3%	6.3%
Adj. EBIT	3,529	3,669	3,537	3,990	4,384	Cash flow from financing activities	(2,324)	(2,155)	(1,410)	(1,565)	(1,692)
Net Interest	175	33	57	28	(21)	o/w Dividends paid	(1,444)	(1,468)	(1,410)	(1,565)	(1,692)
Adj. PBT	4,110	4,189	4,024	4,465	4,828	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(1,097)	(1,253)	(1,204)	(1,336)	(1,445)	o/w Net debt issued/(repaid)	(856)	(687)	0	0	0
Minority Interest	0	0	0	0	0	Net change in cash	2,055	9,218	(391)	504	719
Adj. Net Income	3,013	2,936	2,820	3,129	3,384	Adj. Free cash flow to firm	1,834	4,794	979	2,049	2,426
Reported EPS (Basic)	1.16	1.14	1.09	1.21	1.31	y/y Growth	(24.4%)	161.5%	(79.6%)	109.2%	18.4%
Adj. EPS	1.16	1.14	1.09	1.21	1.31						
DPS	0.58	0.57	0.55	0.61	0.65						
Payout ratio	50.0%	50.0%	50.0%	50.0%	50.0%						
Shares outstanding	2,598	2,586	2,586	2,586	2,586						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	15,786	17,809	17,419	17,923	18,642	Gross margin	49.4%	49.0%	49.1%	49.3%	49.6%
Accounts receivable	1,005	1,389	1,288	1,340	1,395	EBITDA margin	16.3%	15.0%	13.7%	15.2%	16.1%
Inventories	2,598	2,694	2,793	2,897	2,997	EBIT margin	12.3%	12.4%	11.3%	12.2%	12.9%
Other current assets	1,139	1,058	1,072	1,082	1,092	Net profit margin	10.5%	9.9%	9.0%	9.6%	10.0%
Current assets	20,528	22,950	22,572	23,242	24,125	ROE	11.9%	10.9%	10.0%	10.5%	10.8%
PP&E	4,610	4,754	5,981	7,103	8,139	ROA	8.6%	8.0%	7.4%	7.9%	8.2%
LT investments	-	-	-	-	-	ROCE	10.2%	9.6%	8.7%	9.4%	9.8%
Other non current assets	10,570	10,011	9,991	9,975	9,964	SG&A/Sales	37.1%	36.6%	37.8%	37.0%	36.6%
Total assets	35,708	37,714	38,544	40,321	42,228	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	1,625	1,902	1,966	2,040	2,110	Sales/Assets (x)	0.8	0.8	0.8	0.8	0.8
Other short term liabilities	5,961	6,159	5,515	5,654	5,799	Assets/Equity (x)	1.4	1.4	1.3	1.3	1.3
Current liabilities	7,586	8,061	7,481	7,694	7,908	Interest cover (x)	NM	NM	NM	NM	261.1
Long-term debt	0	0	0	0	0	Operating leverage	436.3%	122.8%	(60.7%)	316.8%	245.1%
Other long term liabilities	2,019	2,025	2,025	2,025	2,025	Tax rate	26.7%	29.9%	29.9%	29.9%	29.9%
Total liabilities	9,605	10,087	9,506	9,719	9,934	Revenue y/y Growth	3.9%	3.2%	5.9%	4.0%	4.0%
Shareholders' equity	26,104	27,627	29,038	30,602	32,294	EBITDA y/y Growth	14.7%	(5.2%)	(3.0%)	14.7%	10.5%
Minority interests	0	0	0	0	0	EPS y/y Growth	(5.5%)	(2.1%)	(3.9%)	11.0%	8.1%
Total liabilities & equity	35,708	37,714	38,544	40,321	42,228						
BVPS	10.05	10.68	11.23	11.83	12.49						
y/y Growth	7.0%	6.3%	5.1%	5.4%	5.5%						
Net debt/(cash)	(15,786)	(17,809)	(17,419)	(17,923)	(18,642)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	11.3	11.5	12.0	10.8	10.0						
P/BV (x)	1.3	1.2	1.2	1.1	1.0						
EV/EBITDA (x)	3.2	2.9	3.1	2.6	2.2						
Dividend Yield	4.4%	4.3%	4.2%	4.6%	5.0%						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Li Ning (2331) (2331.HK, 2331 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 22, 2006. All share prices are as of market close on the previous business day.

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